

Bronx Lottery Reveals the Real Math Behind Affordable Housing Development

90 units, 18 lottery slots, and a capital stack that depends on subsidy, not market rent.

The most important number in the housing lottery for 2351 Lorillard Place is not the 90 units. It is the 18 units available through the lottery. That ratio tells you everything about the capital math behind a new multifamily building in the Bronx today. Westbridge Realty Group is delivering a nine-story, 90-residence building in Belmont. The developer is not relying on market-rate tenants to fill the building.

It is relying on a capital stack that includes public subsidy, tax-exempt debt, or 421a-type tax abatements. The 18 lottery units are the visible tip of a financing structure where the economics work only because the city and state are absorbing part of the cost. At 40 percent of area median income, a three-bedroom rents for \$1,368. At 70 percent of AMI, a two-bedroom rents for \$2,297.

Those rents are below what a new-construction market-rate building in the Bronx would need to cover debt service, operating expenses, and a return on equity. The gap is closed by subsidy. The developer is Westbridge Realty Group, a firm with a track record of affordable and mixed-income projects in the outer boroughs. The architect is Leandro Nils Dickson Architect. The building includes standard amenities: bike storage, laundry, elevator, terrace. Nothing extravagant.

The design is functional, not aspirational. That is intentional. Every dollar of hard cost that does not go into granite or concierge service is a dollar that does not need to be subsidized. For capital markets readers, the story is not about the lottery. It is about the financing.

Affordable housing development in New York City now depends on a layered capital stack: low-income housing tax credits, tax-exempt bonds, city capital subsidies, and tax abatements. Each layer comes with compliance requirements, income restrictions, and rent caps. The developer is not building for the open market. It is building for a regulated system where the return is capped but the risk is lower.

The 18 lottery units are the public face of a private capital arrangement. The remaining 72 units are likely also rent-stabilized or income-restricted, just not through the lottery. The entire building is probably part of a larger affordable housing program that limits rent growth and exit options. The developer is trading upside for certainty: a predictable income stream, lower vacancy risk, and access to below-market debt. Who benefits?

The tenants who win the lottery get a new apartment at a below-market rent. The developer gets a financeable project with a guaranteed revenue stream. The city gets new housing units without paying the full cost of market-rate construction. The lenders get a loan backed by a regulated asset with low default history. Who is exposed? The taxpayer, who is subsidizing the gap between construction cost and affordable rent.

The market-rate landlord in the neighborhood, who now competes with a subsidized product. And the developer, who accepts that the building cannot be sold to a market-rate buyer without losing the tax benefits. The market should watch two things. First, the cost of construction in the Bronx. If hard costs rise faster than the subsidy programs adjust, the gap widens and fewer projects pencil. Second, the political appetite for subsidy.

The next city budget cycle will determine whether programs like 421a or its successor survive. If the subsidy layer thins, the capital stack collapses. The lottery is not a sign of market health. It is a sign that the market cannot produce affordable housing without public money. That is not a criticism. It is a fact. And it is the most important fact in the deal.

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